

MOCK TEST: MACROECONOMICS

Money and Banking (Unit 2)

Time: 1 Hour

Max Marks: 30

SECTION A: Multiple Choice Questions (1 Mark Each)

Q1. Which of the following is NOT a function of money?

- a) Medium of Exchange | b) Unit of Account
- c) Store of Value | d) Standard of Production

Q2. The RBI acts as 'Banker to the Government' by:

- a) Public deposits | b) Managing public debt
- c) Loans to banks | d) Issuing coins

Q3. Which is a 'Quantitative' tool of monetary policy?

- a) Margin Requirements | b) Credit Rationing
- c) Bank Rate | d) Moral Suasion

Q4. If LRR is 10%, the Money Multiplier is:

- a) 10 | b) 1
- c) 0.1 | d) 100

Q5. M1 Money Supply includes:

- a) Currency + Demand Deposits | b) Time Deposits
- c) Post Office Savings | d) All of these

SECTION B: Very Short Answer (1 Mark Each)

Q6. Define 'Fiat Money'.

Q7. What is the primary function of a Commercial Bank?

Q8. What is meant by 'Bank Rate'?

Q9. Differentiate between 'Primary' and 'Secondary' Deposits.

Q10. What is the role of RBI as the 'Issuer of Currency'?

SECTION C: Short Answer (3 Marks Each)

- Q11. Explain Commercial Bank functions: 'Agent' and 'Utility'.
- Q12. Distinguish between 'CRR' and 'SLR'.
- Q13. How does RBI use 'Open Market Operations' to control money supply?
- Q14. Briefly explain the 'Credit Creation' process.
- Q15. Why is money a better 'Medium of Exchange' than Barter?

SECTION D: Long Answer / Numerical (5 Marks Each)

Q16. Numerical Problem:

Initial Deposit = ₹ 1,000 | Legal Reserve Ratio (LRR) = 20%.

Calculate:

- (a) Total Money Created in the economy.
- (b) Total Credit Created by the banking system.

- Q17. Explain RBI functions: 'Banker to Banks' and 'Controller of Credit'.
- Q18. Describe the evolution of money from Commodity to Fiat. Why is modern money 'Fiat'?

ANSWER KEY & SOLUTIONS

Q1-Q5: d, b, c, a, a

Q16 Solution:

Money Multiplier = $1/\text{LRR} = 1/0.2 = 5$

(a) Total Money Created = Initial Deposit * Multiplier = $1000 * 5 = ₹ 5,000$

(b) Total Credit Created = Total Money - Initial Deposit = $5000 - 1000 = ₹ 4,000$

Mock Test Of Macroeconomics Class 12 Chapter Money & Banking By Thunderstudy